

Supply Chain Risk Management Guidelines

1. Risk Identification

Potential risks such as supplier bankruptcy, transportation disruptions, and geopolitical conflicts must be identified quarterly. A risk register shall be maintained with likelihood and impact ratings assigned to each possible risk.

2. Risk Assessment Metrics

Risks are classified as low, medium, or high based on likelihood percentage and financial impact. High risks are defined as having over 40% probability and revenue impact exceeding \$50,000. All assessments are reviewed by the risk management committee.

3. Mitigation Strategies

Mitigation includes dual sourcing, increased safety stock of 15% above average demand, and alternate transport routes. Suppliers with lead times greater than 20 days require contingency planning. Regular supplier audits support early risk detection.

4. Disruption Response Procedures

In case of supply disruption, the first step is notification of key stakeholders within 4 hours. A mitigation team evaluates options including expedited shipments or alternative suppliers. Response plans aim to restore supply within three business days.

5. Communication Protocols

All risk information is shared promptly with the procurement, logistics, and finance teams. Alerts are issued via email and SMS for medium and high-level risks. Weekly status reports are compiled during periods of elevated risk.

6. Risk Monitoring Tools

Use of supply chain monitoring software provides real-time visibility on supplier status and shipment tracking. Lead time deviations over 2 days trigger automatic alerts. Monthly performance reviews are conducted to update risk profiles.

7. Training and Awareness

Staff in procurement and supply chain functions must complete annual risk management training. Workshops cover risk identification, assessment, and response planning. Training effectiveness is evaluated via bi-annual assessments.

8. Continuous Improvement

Risk management processes are reviewed bi-annually to incorporate lessons learned and adapt to new threats. Feedback mechanisms ensure stakeholder input is integrated. Improvement targets include reducing supply disruptions by 15% year over year.